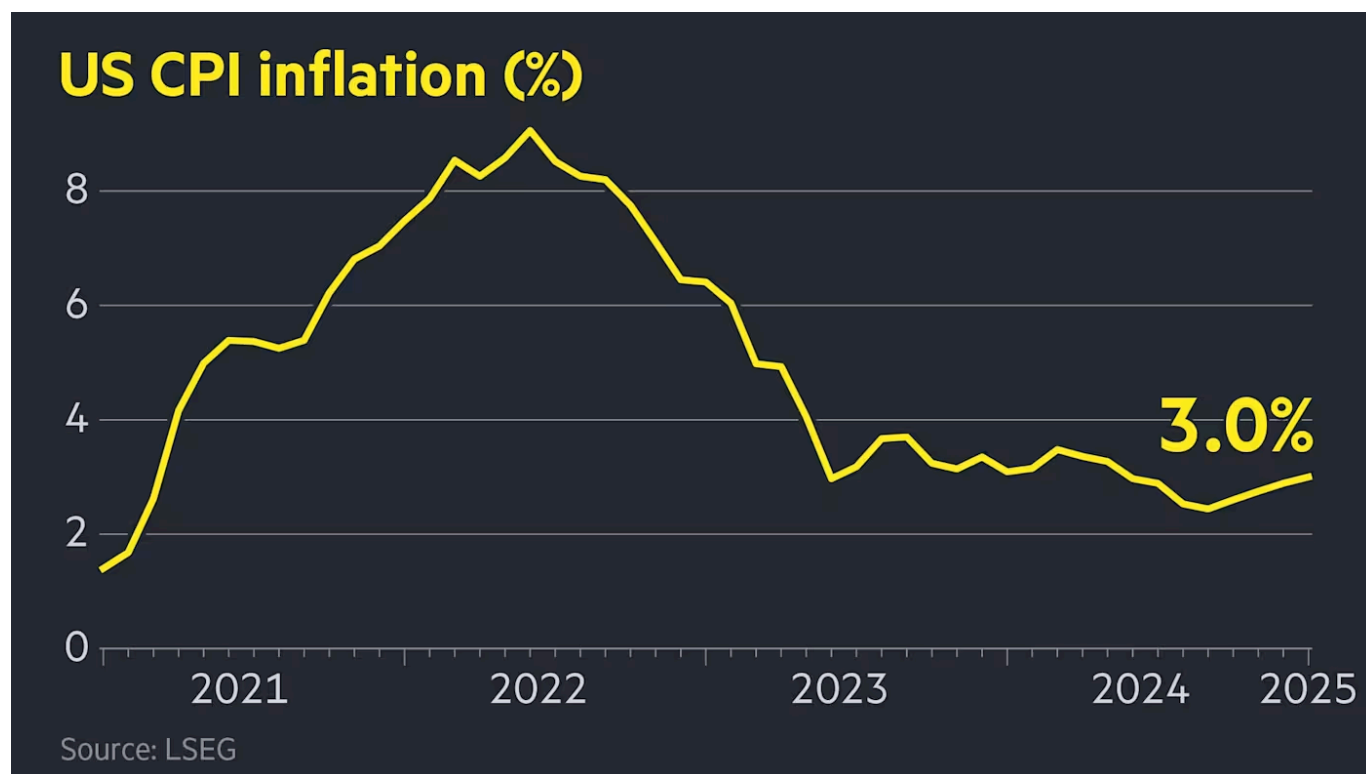


US inflation

US inflation unexpectedly increases to 3% in January

Figure bolsters case for Federal Reserve proceeding slowly with interest rate cuts



The surging price of eggs contributed greatly to the increase, rising 15.2% over the month

James Politi in Washington, **Harriet Clarfelt** in New York and **Claire Jones** in London

Published FEB 12 2025 | Updated FEB 12 2025, 16:08

US inflation unexpectedly increased to 3 per cent in January, bolstering the case for the Federal Reserve proceeding slowly with interest rate cuts and hitting stocks and government bonds.

Wednesday's consumer price index figure surpassed the expectations of economists polled by Reuters, who predicted [inflation](#) would hold steady at December's 2.9 per cent.

The month-on-month rise for January was also ahead of expectations, at 0.5 per cent compared with a predicted 0.3 per cent.

The surging price of eggs contributed greatly to the increase, rising 15.2 per cent over the month and 53 per cent in a year, partly because of the impact of avian flu.

The figures from the Bureau of Labor Statistics led investors to bet the Fed would cut interest rates once this year. Before the data was published, the futures market had expected the first cut to arrive by September, with a 40 per cent chance of a second reduction by the end of the year.

“I would say we’re close, but not there [yet] on inflation,” Fed chair Jay Powell told lawmakers on Wednesday. “Today’s inflation print says the same thing.”

Powell told the hearing at the House of Representatives after the data was published: “We’ve made great progress but we’re not quite there yet. So we want to keep policy restrictive for now.”

“Markets are not convinced that we will see disinflation later in the year, and today’s data certainly don’t give evidence of that,” said Eric Winograd, chief economist at AllianceBernstein. He highlighted concerns that “if inflation doesn’t keep going down, the Fed won’t cut rates at all”.

After the data was published, the two-year yield on US Treasury bonds, which tracks interest rate expectations and moves inversely to price, was up 0.07 percentage points to almost 4.36 per cent.

The S&P 500 dropped as much as 1.1 per cent shortly after Wall Street’s opening bell, but ultimately closed 0.3 per cent lower. The tech-heavy Nasdaq Composite closed fractionally higher, while a gauge of the dollar against six other currencies was marginally lower.

US inflation rose in January

% change in consumer price index for all urban consumers

Year over year ▼

Enter item to show

10% _____

8% _____

Wednesday's inflation data also showed core CPI, which strips out changes to food and energy prices, rose to 3.3 per cent in January from 3.2 per cent in December.

It came after the Fed [defied calls](#) from President Donald Trump to make steep cuts to borrowing costs and instead held its main rate at 4.25 per cent to 4.5 per cent.

On Tuesday, Powell told Congress the central bank would continue "[doing our job](#) and stay out of politics".

But on Wednesday Trump renewed his demands on his Truth Social platform. “Interest Rates should be lowered, something which would go hand in hand with upcoming Tariffs!!!” the US president posted. “Lets Rock and Roll, America!!!”

The CPI data will fuel concerns among economists that the world’s largest economy is heating up again, as Trump moves ahead with plans for [sweeping tariffs](#), a crackdown on immigration and broad tax cuts that many economists fear could trigger a new rise in inflation.

Since returning to the White House on January 20, Trump has started implementing mass deportations of undocumented immigrants and imposed 10 per cent additional tariffs on Chinese imports.

He has also announced that high levies on nearly all imports from Canada and Mexico, as well as on all steel and aluminium imports, will take effect in March.

Powell has said it is still too early to judge the impact of the tariffs on the economy and monetary policy, because this would depend on the details of the levies.

Whitney Watson at Goldman Sachs Asset Management said that, together with the robust state of the US jobs market, Wednesday’s inflation figures were likely to reinforce the Fed’s “cautious approach to easing”. She added: “We think the Fed is likely to remain in ‘wait-and-see mode’ for the time being.”

Despite acknowledging that the CPI reading “was above almost every forecast”, Powell on Wednesday offered lawmakers a couple of notes of caution.

“One is that we don’t get excited about one or two good readings and we don’t get excited by bad readings. The second thing is we target PCE inflation, because we think it’s simply a better measure of inflation,” he said at the hearing, referring to the personal consumption expenditures index.

Powell said the Fed would get a better sense of price pressures when the producer price index came out on Thursday.

Follow the topics in this article

Global inflation

US inflation

US interest rates

Federal Reserve

James Politi